Topic 4A - Cash Flow Statements

Practice Questions

1. Which of the following best describes the purpose of a cash flow statement?

a) To show how much cash is available at the end of the accounting period.
b) To explain any increase or decrease in the business' working capital.
c) To establish the ability of the business to pay its liabilities.
d) To explain what cash has been generated by operations, and how that cash has been utilised.

2. A business made a loss during the financial year just ended but has more cash at the end of the year than it did at the beginning. Which of the following could be a reason for this?

a) Dividends were lower this year than last year
b) Some non-current assets were sold during the year
c) Trade receivables took longer to pay this year than last
d) Trade payables were lower at the end of this year

3. Explain why companies are required to produce cash flow forecasts.

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4. The following cash flow statement has been obtained from Yu plc's annual report for the year ended 31 December 2020. During the year the company made a profit of £164,000.

   Comment on the company's financial management during the year.

Yu plc
Cash flow statement
for the year ended 31 December 2020

	£000	£000
Cash flows from operating activities		
Cash receipts from customers	481	
Cash paid to suppliers and employees	(94)	
Cash generated from operations	387	
Interest paid	(23)	
Income taxes paid	(68)	
Net cash from operating activities		296
Net cash flows from investing activities		
Purchase of property, plant and equipment	(350)	
Proceeds from sale of equipment	154	
Net cash used in investing activities		(196)
Cash flows from financing activities		
Proceeds from issue of share capital	189	
Repayment of long-term borrowings	(250)	
Dividends paid	(52)	
Net cash used in financing activities		(113)
Net increase in cash and cash equivalents		(13)
Cash and cash equivalents at beginning of period		32
Cash and cash equivalents at end of period		19

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5 **B Ltd**

B Ltd depends entirely on its main shareholder for any necessary finance.
B Ltd cannot be overdrawn by more than £50,000 at any time, even though the business of B Ltd is highly seasonal and is in a period of growth.

B Ltd has just prepared its cash budget for the next ten months, details of which are as follows. All figures are in £000s.

Month	1	2	3	4	5	6	7	8	9	10
Collections from customers	120	50	60	75	80	90	110	150	220	320
Dividend on investment					45					
Total inflows	120	50	60	75	125	90	110	150	220	320
Payments to suppliers		80		88		88		88		92
Wages and other expenses	58	103	79	59	105	80	62	108	83	63
Payments for non-current assets		70	10		15				5	
Dividend payable	80									
Corporation tax							120			
Total outflows	138	253	89	147	120	168	182	196	88	155
Net inflow or outflow	-18	-203	-29	-72	5	-78	-72	-46	132	165
Bank balance/(overdraft):										
Opening	251	233	30	1	-71	-66	-144	-216	-262	-130
Closing	233	30	1	-71	-66	-144	-216	-262	-130	35

The following supplementary information is provided:

(a) Two months credit on average is granted to customers.

(b) Production is scheduled evenly throughout the year. Year-end inventories of finished goods are forecast to be £114,000 higher than at the beginning of the year.

(c) Purchases of raw materials are made at two-monthly intervals. Three months' credit, on average, is taken from suppliers.

(d) The capital expenditure budget comprises:

New equipment for planned production	Month 4	£70,000
Routine replacement of motor vehicles	Month 5	£10,000
Interim payment on building extensions	Month 7	£15,000
Office furniture and equipment	Month 11	£5,000

You are required to review this information and to advise the board of B Ltd on possible actions it might take to improve its budgeted cash flow for the year and to avoid any difficulties you can foresee.